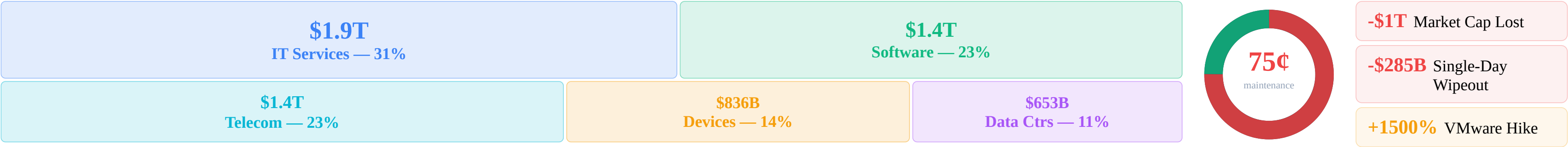


Global IT spending reaches **\$6.15 trillion** in 2026 — a 9.8% increase that represents the largest technology investment in human history. Yet beneath this record figure lies a crisis: **75 cents of every dollar** goes to maintenance, **660 SaaS apps** per enterprise sit mostly unused, and **95% of GenAI pilots** fail to deliver business value. The money is there. The return is not.



The Fragmentation Tax

The average large enterprise now runs **660 SaaS applications** across departments (Zylo 2025), with organizations above 10,000 employees averaging \$284 million in annual SaaS spend. Most were adopted bottom-up by individual teams purchasing subscriptions without centralized oversight. The result: **53% of all software licenses sit unused** — a silent tax bleeding budgets dry while delivering zero value.

Cloud waste compounds the problem at infrastructure level. **27% of \$450 billion+** in global cloud spend is pure waste: idle instances running 24/7 with no workloads, over-provisioned VMs sized for peak loads that never come, and abandoned project resources. That's **~\$17 million per year** per large org, burned (Flexera 2025). When organizations try to modernize, **94% of core modernization projects** exceed their timelines and budgets (IBM IBV).

Why AI Can't Deliver

**72% of CIOs** now identify fragmented infrastructure as the number-one barrier to AI ROI (Gartner 2025). The models work brilliantly in isolation — GPT-4, Claude, Gemini all deliver remarkable capabilities in controlled environments. But enterprise deployment demands unified data pipelines, consistent APIs, comprehensive observability, and governance frameworks. None of this exists when your technology stack is 660 disconnected tools, 3 competing cloud providers, and 14 different authentication systems.

The proof is devastating: **95% of GenAI pilot programs** fail to deliver measurable business value (MIT Sloan 2025). Not because the algorithms are flawed — because the infrastructure substrate is fragmented beyond what any AI can overcome. The enterprise software industry spent two decades optimizing for vendor lock-in rather than interoperability. Every product decision prioritized switching costs over developer experience. AI exposed the rot.

Wall Street's Verdict

Investors are punishing fragmented, legacy-dependent vendors at historic levels. In Q1 2026, **\$1 trillion** in software market cap was destroyed as Wall Street concluded the old guard cannot deliver AI-ready infrastructure (CNBC). A single January trading day wiped **\$285 billion** from AI sector stocks after investors realized hype without substance gets punished (WinBuzzer).

The vendor shakeout accelerates across every segment. PM SaaS **-58%** YTD, IT outsourcing **-42%**, proprietary CRM **-38%**, virtualization **-27%**. VMware's post-acquisition license restructuring hit customers with increases up to **+1,500%** (CIO/Avasant). Hedge funds made **\$24 billion** shorting legacy vendors in five weeks. The message: fragmented infrastructure is a liability, not an asset. The transformation window is closing.